

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-07

Impact Products, LLC *et al.*, Complainants v. CMA CGM S.A., Respondent

**COMPLAINANTS' RESPONSE IN OPPOSITION TO
RESPONDENT'S SUPPLEMENTAL MOTION TO DISMISS**

Complainants Impact Products, LLC (“Impact Products”) and Safety Zone, LLC (“Safety Zone,” collectively the “Complainants”), by their counsel, and pursuant to 46 CFR §§ 502.69 and 502.70, hereby file their response in opposition to CMA CGM S.A.’s (“CMA” or “Respondent”) supplemental motion to dismiss (the “Supplemental Motion” or “Supp. Mot.”), and in support thereof, state as follows:

INTRODUCTION

Respondent has filed two dispositive motions and two non-dispositive motions since August 28, 2024—two days before the close of discovery and just one week before Complainants’ brief was due. Respondent’s original motion to dismiss is based on (1) the direct purchaser rule and (2) an anti-assignment provision. Now, in its Supplemental Motion, Respondent introduces new grounds that it did not address in its original motion to dismiss. First, it argues that Complainants’ bankruptcy precludes them from bringing their complaint against Respondent. Second, it contends that Complainants’ failure to file their opening brief by the deadline set in the Presiding Officer’s August 5, 2024, Revised Scheduling Order also necessitates dismissal of the complaint.

Pursuant to Federal Rules of Civil Procedure 12(g), which is applicable to the Federal Maritime Commission under 46 C.F.R. § 502.12, Respondent should not be permitted to raise new

grounds for dismissal that it had the opportunity to include in its original motion to dismiss. As detailed below, Respondent was fully aware of Complainants' bankruptcy and its concerns regarding the bankruptcy since at least August 1, 2024. Therefore, Respondent could have raised its bankruptcy argument in the original motion but chose not to do so. Regardless, Complainants have filed a motion for leave to amend the complaint to substitute the new owner of Complainants' assets, including this cause of action, as the new and sole Complainant. If the Presiding Officer grants the motion, Complainants will no longer be a party to this cause of action, thereby addressing any concerns Respondent had regarding Complainants' continued involvement in this case.

Lastly, the only reason Complainants failed to file their opening brief on time was that Respondent refused to cure its deficient production of documents and to produce a corporate representative by the end of discovery, despite multiple attempts by Complainants to resolve these issues. This constituted a direct violation of 46 CFR § 502.143, which permits Complainants to depose any person, including a party, without the need for leave from the Presiding Officer. Additionally, it violated the Presiding Officer's March 25, 2024, Scheduling Order and August 5, 2024, Revised Scheduling Order, which mandated that depositions be completed by August 30, 2024.

For these reasons further explained below, Respondent's Supplemental Motion should be denied in its entirety.

BACKGROUND

Complainants' filed their verified complaint (the "Complaint") on February 14, 2024. *See* Doc. No. 1. Respondent answered the Complaint on March 7, 2024 (the "Answer"). *See* Doc. No. 8. In its affirmative defenses, Respondent asserted that under the FMC's first purchaser rule,

Complainants are not entitled to pursue reparations against Respondent because they did not pay the challenged charges. *See* Doc. No. 8, Affirmative Defense No. 7. Despite having raise this defense in March 2024, Respondent waited nearly six months—specifically, until two days before the close of discovery on August 28, 2024—to file its motion to dismiss under the same grounds as affirmative defense number seven (the “Original Motion”). *See* Doc. No. 17. Notably, Respondent never addressed the “direct purchaser rule” issue during discovery, even after Complainants produced the Assignment of Claims Agreement with Laufer Group International (“Laufer”) on July 25, 2024. A true and correct copy of the Assignment of Claims Agreement is attached to Respondent’s Original Motion as **Exhibit 8**. *See* Doc. No. 17.

On that same day, Respondent’s counsel sent a formal letter to Complainants’ counsel requesting information on the bankruptcy (the “August 28 Letter”). *See* **Exhibit 10** attached to the Supplemental Motion. This was despite Complainants’ repeated attempts to meet and confer with Respondent’s counsel regarding the bankruptcy issues on August 12, 26, and 27. A true and correct copy of Complainants’ counsel’s attempts to initiate discussions about the bankruptcy is attached hereto as **Exhibit A**.

Respondent’s filings did not stop there. On August 30, 2024, the last day of discovery, Respondent filed a Motion to Exclude Complainants’ Expert Opinions. *See* Doc. No. 20. Significantly, Respondent had received Complainants’ expert opinion on August 12, 2024, but raised no objections or concerns until the filing of its motion to exclude. Respondent has continued to file motions since August 30, 2024. On September 5, 2024, Respondent’s counsel sent a follow-up letter to the August 28 Letter and an email to Complainants’ counsel stating that Respondent was “about to file another Motion to Dismiss” based on Complainants’ failure to file their opening brief, and that “this will be in addition to the pending Motion to Dismiss and *Daubert* Motion.”

See a true and correct copy of the September 5, 2024 communication from Respondent's counsel (the "September 5 Communication") attached as **Exhibit B**.

On September 9, 2024, Respondent filed its Supplemental Motion to Dismiss, almost two-weeks after it filed its original Motion to Dismiss. The Supplemental Motion brings new grounds for dismissal not previously raised in Respondent's Original Motion. In its Supplemental Motion, Respondent asserts for the first time that the Complaint should be dismissed because (1) bankruptcy law prohibits further prosecution of this case; and (2) Complainants failed to file an opening brief, findings of fact, or appendix as required by the Revised Scheduling Order entered on August 5, 2024. As noted in the Supplemental Motion, however, Respondent was well aware of Complainants' bankruptcy proceeding as early as August 1, 2024. *See* Suppl. Mot. p. 4. On September 19, 2024, Respondent filed its fourth motion, now seeking leave to file a reply in support of its motion to exclude Complainants' expert opinion. *See* Doc. No. 25.

It has become evident that Respondent intends to continue engaging in motion practice or seek leave to file additional replies in an effort to pressure Complainants into dismissing this proceeding. Respondent's conduct should not be rewarded. Since July 8, 2024, Respondent actively engaged in discovery communications with Complainants, requesting that Complainants (1) prepare a motion for protective order to facilitate the production of documents, (2) prepare a motion to extend discovery while maintaining the briefing schedule, and (3) collaborate in defining the scope of inquiry for Respondent's corporate deposition—prompting Complainants to withdraw their original notice of deposition. Complainants, in good faith, agreed to these requests.

However, immediately after the court granted the motion to extend discovery and entered the Revised Scheduling Order on August 5, 2024 (the "Revised Scheduling Order"), Respondent ceased all communication. Respondent ignored Complainants' repeated requests to cure its

deficient document production, produce a corporate representative for deposition as required by the Revised Scheduling Order, and discuss matters related to Complainants' bankruptcy proceeding. See Ex. A. Complainants will not be bullied into relinquishing their legal rights or dismissing this action due to Respondent's obstructive tactics.

STANDARD OF REVIEW

Respondent's original Motion to Dismiss and its Supplemental Motion to Dismiss did not provide the Presiding Officer with the appropriate legal standard of review to apply to Respondent's motions. Instead, Respondent merely cited the Federal Maritime Commission's rule regarding the contents of a dispositive motion as the standard of review. In contrast, Complainants included the proper standard of review in their Response to Respondent's Original Motion, which Respondent did not dispute in its Reply to Complainants' Response to the Original Motion.

Because this matter is before the Commission on a motion to dismiss, the Commission reviews it under the standards of Federal Rule of Civil Procedure 12. *In Re: Vehicle Carrier Services*, 2019 WL 5558120, at *4, 1 FMC 2d 440 (FMC Oct. 21, 2019). The Commission's Rules of Practice and Procedure do not provide for motions to dismiss, so the Commission exercises its gap-filling authority under 46 C.F.R. § 502.12 and applies Federal Rule of Civil Procedure 12 and the federal caselaw interpreting it. *Id.*; see *Cornell v. Princess Cruise Lines, Ltd.*, 33 S.R.R. 614, 620, 2014 WL 5316340, *6 (FMC Aug. 28, 2014). Complainants' included the relevant standard to survive a motion to dismiss under Rule 12(b)(6) in their response in opposition to Respondent's Original Motion to Dismiss. See Complainants' Response in Opposition to the Original Motion, Doc. No. 23, p. 4-5.

Furthermore, Fed. R. Civ. P. 12(g) ("Rule 12(g)(2)") limits the defenses that can be raised for the first time in a second or successive motion to dismiss. Specifically, the rule says: "Except

as provided in Rule 12(h)(2) or (3), a party that makes a motion under this rule must not make another motion under this rule raising a defense or objection that was available to the party but omitted from its earlier motion.” Fed. R. Civ. P. 12(g)(2); *Manipoun v. Dibella*, 2018 WL 4951956, at *2 (S.D. Cal. Oct. 12, 2018) (holding that Rule 12(h)(2) does not apply to a motion under Rule 12(b)).

ARGUMENT

I. Rule 12(g)(2) precludes Respondent from raising new arguments it was fully aware of at the time it filed its Motion to Dismiss.

The Presiding Officer should not permit Respondent to raise new arguments and issues that were fully known to Respondent at the time it filed its Original Motion to Dismiss.

Rule 12(g) generally precludes a defendant from bringing successive motions to dismiss raising arguments that the defendant failed to raise at the first available opportunity. *Burton v. Ghosh*, 2019 WL 8407496, at *1 (N.D. Ill. Feb. 25, 2019). “The policy behind Rule 12(g) is to prevent piecemeal litigation in which a defendant moves to dismiss on one ground, loses, then files a second motion on another ground.” *Ennenga v. Starns*, 677 F.3d 766, 773 (7th Cir. 2012). This “procedural bar ... covers all motions to dismiss for failure to state a claim, regardless of the grounds asserted.” *Leyse v. Bank of Am. Nat. Ass’n*, 804 F.3d 316, 321-22 (3d Cir. 2015) (holding that the district court erred in considering the defendant's successive motion to dismiss because the defendant could have easily included its statutory standing argument in the original motion, which raised a collateral estoppel challenge)

Here, as acknowledged by Respondent in its Supplemental Motion, Respondent was fully aware of Complainants’ bankruptcy as early as August 1, 2024. See Supplemental Motion at p. 4 (“Since cases pursued by a bankrupt debtor must first be approved by a bankruptcy court, including the counsel and terms for pursuing them, on a call on August 1, 2024, CMA’s counsel inquired

about Complainants' authority to prosecute this case.") Respondent then inaccurately claims that Complainants promised to provide information about the bankruptcy but failed to do so. This is false. On August 12, 26 and 27, Complainants' counsel made repeated attempts to meet and confer regarding the bankruptcy, all of which were ignored by Respondent. See **Ex. A**.

Furthermore, the August 28 Letter demanding information on the bankruptcy appears more performative than substantive, as it was sent on the same day Respondent filed its dispositive motion. Similarly, the September 5 Communication also seems disingenuous, as Respondent made it clear that it intended to file another motion to dismiss, blaming Complainants for missing the deadline to file their opening brief. However, this delay was caused by Respondent's own failure to cure its discovery deficiencies and produce a corporate representative for their deposition before the end of discovery. At this point, it became evident that Respondent had abandoned a collegial approach in favor of unnecessary and obstructive motion practice.

Despite being forced to engage in unnecessary motion practice, Complainants note that Respondent was fully aware of Complainants' bankruptcy and the issues it deemed relevant to this proceeding well before filing its Original Motion. See Supplemental Motion at p. 4; **Ex. A**. Yet, Respondent chose not to raise these arguments in the Original Motion, opting instead to introduce them twelve days later in its Supplemental Motion. Respondent may argue that it withheld this new argument while awaiting Complainants' response to its August 28 Letter and September 5 Communication. However, Complainants had already made several attempts to discuss the bankruptcy prior to Respondent's decision to file all of its frivolous motions. See **Ex. A**. Moreover, the suggestion that Complainants would be inclined to engage in discussions regarding the bankruptcy after Respondent filed a dispositive motion—and then threatened another motion to

dismiss based on Complainants' delayed filing of their opening brief, a delay directly caused by Respondent's own failure to comply with the Revised Scheduling Order—is, at best, unreasonable.

The Presiding Officer should therefore find that Respondent's Supplemental Motion, with respect to the bankruptcy arguments, is procedurally barred under Rule 12(g) because Respondent failed to raise these arguments in its Original Motion, which was its first available opportunity to do so. *See Am. Ass'n of Naturopathic Physicians v. Hayhurst*, 227 F.3d 1104, 1106 (9th Cir. 2000) (“A fundamental tenet of the Federal Rules of Civil Procedure is that certain defenses under Fed. R. Civ. P. 12 must be raised at the first available opportunity or, if they are not, they are forever waived.”) This ruling is inline with the policy behind Rule 12(g), which seeks to prevent piecemeal litigation in which a defendant moves to dismiss on one ground, loses, then files a second motion on another ground.” *Ennenga v. Starns*, 677 F.3d 766, 773 (7th Cir. 2012). Respondent is attempting to do just that—filing its Supplemental Motion, with respect to the bankruptcy argument, as a form of insurance in case the Presiding Officer denies the arguments raised in its Original Motion.

II. Complainants failure to disclose this particular FMC proceeding in their bankruptcy case does not bar the new owner of Complainants' assets, including this cause of action, from bringing this suit against Respondent.

Respondent appears to argue that because Complainants did not disclose this particular FMC proceeding in their bankruptcy schedules, the new owner of Complainants' assets—including this cause of action against Respondent—is barred from pursuing the claims against Respondent. However, Respondent cites no caselaw to support this argument, as no such caselaw exists. Complainants are not seeking to continue to prosecute this proceeding and have recently filed a

Motion for Leave to Amend the Complaint, seeking to substitute the new owner of Complainants' assets as the sole Complainant in this matter.¹ See Doc. No. 27.

On July 10, 2024, the bankruptcy court administering Complainants' Chapter 11 bankruptcy petition (the "Bankruptcy Court"), *In re: Supply Source Enterprises, Inc., et al.*, Case No. 24-bk-11055 (Bankr. Del. May 21, 2024), entered an order (a) approving the sale of the debtors' assets free and clear of lien, claims, interests, and encumbrances, (b) approving the assumption and assignment of certain executory contracts and unexpired leases, and (c) granting related relief (the "Bankruptcy Order"). See **Exhibit 8**, attached to Respondent's Supplemental Motion to Dismiss. As part of the Bankruptcy Order, the Bankruptcy Court approved the sale and purchase of all rights, or causes of action which Complainants may have against any person with respect to the purchased assets. See the asset purchase agreement between TZ SSE Buyer LLC, Supply Source, and Complainants (the "Asset Purchase Agreement") attached as **Exhibit A** to the Bankruptcy Order, p. 16 (emphasis added).

TZ SSE Buyer, LLC, a Delaware limited liability company ("TZ SSE Buyer"), purchased and is now the owner of all of Complainants' assets, as of July 10, 2024, including the claims at issue in this proceeding. See **Ex. 8** and accompanying **Ex. A**, attached to Respondent's Supplemental Motion to Dismiss. Pursuant to the Bankruptcy Order and the Asset Purchase Agreement, Complainants have transferred and assigned all of the claims they have against Respondent in this proceeding to TZ SSE Buyer, who will now prosecute the claims against Respondent. *Id.*

¹ Complainants were prepared to file their Motion for Leave to Amend the Complaint as early as Friday, September 20, 2024. However, as part of their duty to confer, Complainants' counsel inform Respondent's counsel whether they would oppose such motion. Respondent's counsel requested to discuss the proposed amended complaint by Monday, September 23, 2024, and Complainants' counsel agreed.

Respondent contends that Complainants were unquestionably aware of their claims before the FMC when preparing their bankruptcy schedules. Supp. Mot. p. 8. However, as Respondent is fully aware, Complainants are subsidiaries of Supply Source Enterprises, Inc. (“Supply Source”), which filed for bankruptcy on behalf of itself and all its subsidiaries, including Complainants. In its efforts to provide an accurate representation of the assets held by both Supply Source and its subsidiaries, some assets may have been inadvertently omitted due to the volume of assets and liabilities that Supply Source was responsible for disclosing. Nevertheless, both Supply Source and Complainants included a disclaimer on the first page of their bankruptcy schedules, which is attached as **Exhibit 1** to Respondent’s Supplemental Motion (“Global Notes and Statement of Limitations and Methodology Regarding the Debtor’s Schedules of Assets and Liabilities and Statements of Financial Affairs”), pp. 1-3. In this disclaimer (the “Disclaimer”), Supply Source and Complainants noted that they may not have listed all of their causes of action or potential causes of action against third parties as assets in their Schedules and Statements. *Id.* They further reserved all rights with respect to any cause of action and emphasized that neither the Global Notes nor the Schedules and Statements should be considered a waiver of any claims or causes of action, nor should they prejudice or hinder the assertion of such claims or causes of action. *Id.* Therefore, the omission of Complainants’ cause of action against Respondent from Complainants’ bankruptcy schedules does not render the sale of their assets to TZ SSE Buyer, LLC invalid.

Regardless of Respondent’s view on whether the Asset Purchase Agreement was appropriate, it was duly approved by the Bankruptcy Court, and the sale has become final. As a result, all of Complainants’ assets, including this cause of action against Respondent, have been transferred to TZ SSE Buyer. If Respondent now seeks to challenge the validity of that sale, it is pursuing relief in the wrong tribunal.

The cases cited by Respondent are inapposite. Each of the cases involved courts barring a debtor from pursuing a cause of action in district court through judicial estoppel, where the debtor had failed to disclose the pending suit in their bankruptcy case. See *Payless Wholesale Distributors, Inc. v. Alberto Culver (P.R.) Inc.*, 989 F.2d 570, 571 (1st Cir. 1993); *Oneida Motor Freight, Inc. v. United Jersey Bank*, 848 F.2d 414, 415 (3d Cir. 1988) (emphasis added). In contrast, Complainants, as the debtors, acknowledge they can no longer pursue this cause of action against Respondent, as they no longer have an interest in the instant FMC proceeding, having sold it as part of the Asset Purchase Agreement to TZ SSE Buyer. Complainants are not seeking to prosecute this cause of action and have filed a motion for leave to file amended complaint to substitute the new owner of the claims as the sole Complainant.

The Presiding Officer should therefore deny Respondent's request to dismiss the Complaint under the doctrine of judicial estoppel because, if the Presiding Officer grants Complainants' motion for leave to amend the complaint, Complainants will no longer be the parties in this FMC proceeding. The new owner of this cause of action has every right to bring this proceeding against Respondent.

III. Complainants did not need to obtain court approval from the Bankruptcy Court to continue to prosecute this case.

Complainants did not need bankruptcy court approval to continue to prosecute this case because no assets of the bankruptcy estate were used to fund the prosecution of the underlying claims against Respondent. Clark Hill PLC, Complainants' undersigned counsel, was not required to be listed in Complainants' Motion to Authorize Debtors to Employ Professionals Utilized in the Ordinary Course of Business, as no estate assets were used to pay Clark Hill's attorneys' fees and costs. Additionally, the Bankruptcy Court was fully aware of the agreement between Clark Hill and Complainants for the legal advice and representation concerning the claims against CMA, as

it was disclosed to the Bankruptcy Court. See attached as **Exhibit C**, a true and correct copy of Notice of Cure Costs and Potential Assumption and Assignment of Executory Contracts and Unexpected Leases in connection with Sale of Substantially All Assets, Schedule A p. 5, which was filed with the Bankruptcy Court on June 20, 2024, Docket 175-1.

Therefore, the Presiding Officer should decline Respondent's Original Motion and Supplemental Motion because Complainants were not required to seek Bankruptcy Court approval to continue to litigate this case.

IV. Complainants have disclosed the assignment of claims agreement it entered into with Laufer Group International as part of their Motion for Leave to Amend Complaint.

Complainants have disclosed the Assignment of Claims Agreement entered into with Laufer as part of their Motion for Leave to File Amended Verified Complaint, filed on September 23, 2024, which is included as Exhibit 1 to their Motion for Leave to Amend the Complaint. In the Supplemental Motion, Respondent asserts that Complainants were required to disclose this Agreement to the Bankruptcy Court. Supp. Mot. p. 10. However, the non-disclosure of the Assignment of Claims Agreement in the Bankruptcy Court does not affect the sale of Complainants' assets to TZ SSE Buyer. Furthermore, Complainants can amend their schedules at any time and disclose the Assignment of Claims Agreement if required by the Bankruptcy Court.

V. Respondent's own failure to abide by the Revised Scheduling Order is the sole reason Complainants were unable to file their opening brief on time.

Respondent neglects to inform the Presiding Officer of the reason Complainants were unable to file their opening brief on time: Respondent's own failure to comply with the deadlines set forth in the Revised Scheduling Order. Since August 12, 2024, Complainants made multiple attempts to meet and confer with Respondent regarding the scope of the deposition of Respondent's corporate representative. See **Ex. A**. They also repeatedly requested that Respondent

address its deficient production of documents. *See id.* Complainants did not receive any response from Respondent until August 28, 2024—two days before the end of discovery and just one week before their opening brief was due.

Notably, Respondent has continued to ignore Complainants' requests to produce a corporate representative for a deposition, thereby violating the Presiding Officer's Initial Order, Scheduling Order, Revised Scheduling Order, and 46 CFR § 502.143, which permits Complainants to depose any person, including a party, without needing leave from the Presiding Officer. This situation left Complainants with an incomplete record, hindering their ability to prepare and file their opening brief on time.

Now, Respondent has the audacity to claim that Complainants violated the Revised Scheduling Order, citing the Presiding Officer's Initial Order as support. However, as the Presiding Officer also stated in her March 25, 2024, Scheduling Order, a "scheduling order 'is not a frivolous piece of paper, idly entered, which can be cavalierly disregarded by counsel without peril.'" *Johnson v. Mammoth Recreations, Inc.*, 975 F.2d 604, 610 (9th Cir. 1992) (quoting *Gestetner Corp. v. Case Equipment Co.*, 108 F.R.D. 138, 141 (D. Me. 1985)).

In this instance, Respondent has cavalierly disregarded the Revised Scheduling Order by failing to produce a corporate representative prior to the end of discovery, as required by 46 CFR § 502.143, despite Complainants' counsel multiple attempts to meet and confer with Respondent's counsel to produce a corporate representative for their deposition. *See Ex. A.* Additionally, Respondent failed to remedy its deficient production of documents, even after numerous requests from Complainants. *See id.* Notably, Respondent only corrected its document production five days after the deadline for Complainants to file their opening brief had passed.

The Presiding Officer should therefore denied Respondent's Supplemental Motion because it was Respondent's own violations of the FMC rules, the Presiding Officer's Initial Order, Scheduling Order and Revised Scheduling Order that caused Complainants to miss filing their opening brief on time.

CONCLUSION

For the foregoing reasons, the Presiding Officer should decline to dismiss the Complaint, denied Respondent's Supplemental Motion in its entirety, and find that Complainants have sufficiently allege a claim for reparations at this stage in the proceedings.

Dated: September 24, 2024

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on September 24, 2024, a true and correct copy of the foregoing **Complainants' Response in Opposition to Respondent's Supplemental Motion to Dismiss** was served by email on all counsel of record in accordance with 46 CFR Part 502.

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